

Fearnleys Dry Bulk Weekly

Mar 11, 2026



Capesize/Newcastlemax

Macro risks are very clear. If the Strait of Hormuz remains closed, there will eventually be an unprecedented energy shortage, causing widespread "demand destruction". Assuming the Strait of Hormuz remains closed, any market strength will be temporary. In this case, the degree and duration of any eventual market strength will depend on many uncertain factors, like how quickly energy prices rise, and to what degree industrial commodity prices are able to follow the rise in energy prices. Also, how much coal is available at short notice to replace the loss of oil and gas?

Following previous oil price shocks in 1973/74 and in 1979/80, dry bulk markets eventually dropped sharply, with a lag of 6 to 9 months.

If the Strait of Hormuz opens quickly, the economic damage will hopefully be limited.

Top left chart: Blast furnace output in China has dropped due to maintenance. This week, projections by MySteel are for output to fall a bit more, then rise going forward.

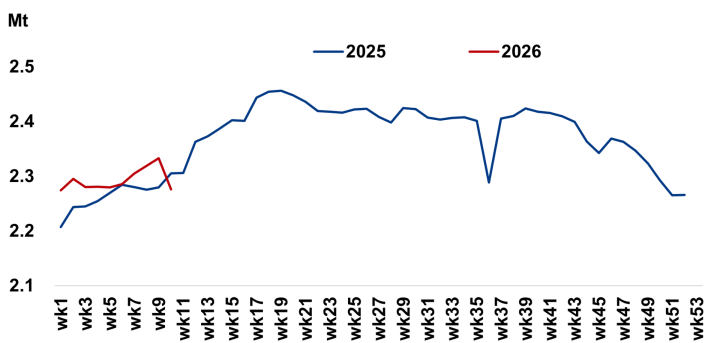
Top right chart: Vessels heading towards Australia are still at a seasonal low point. Normally, this is a positive market indication going forward.

Bottom left chart: The South Atlantic tightness indicator remains very high, still suggesting the market could rally.

Bottom right chart: Vessels heading towards Brazil are still at a seasonal low point. Normally, this is a positive market indication going forward.

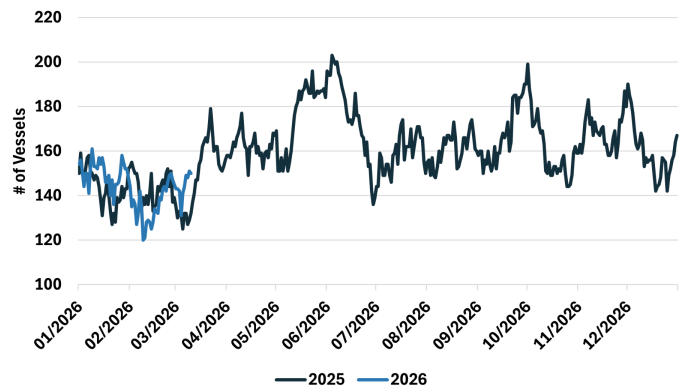
China Hot Metal Output - 2026 vs 2025

Average daily hot metal output

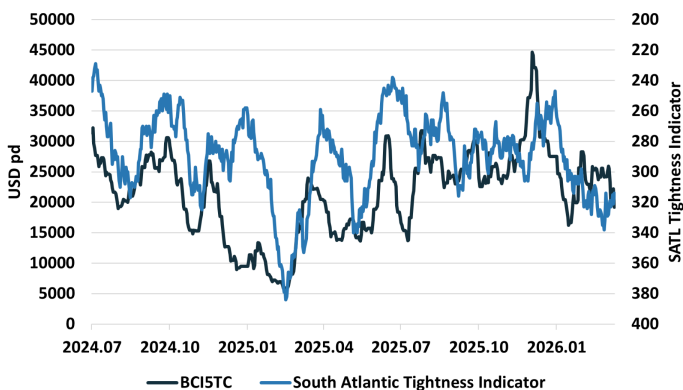


Source: Mysteel Data

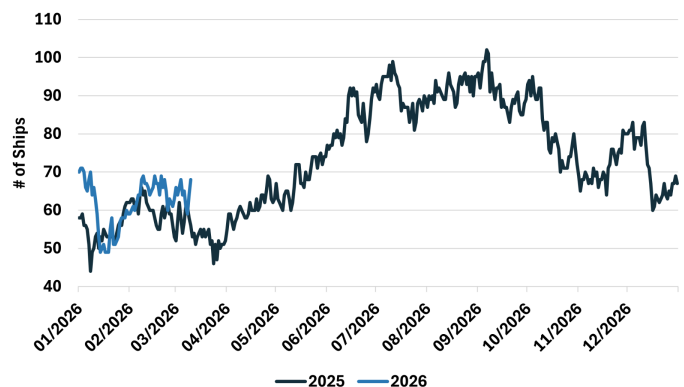
Capes/Newcs Heading to Australia



C5TC 180 vs South Atlantic Tightness Indicator



Capes/Newcs Heading to Brazil



Panamax/Kamsarmax

The below indicators still look toppish. Even though coal prices have risen significantly, the futures curve is not yet reflecting a panicked rush to buy coal. Prices also remain far below the 2021/22 levels, but under current circumstances, it's a real possibility that they will reach those levels.

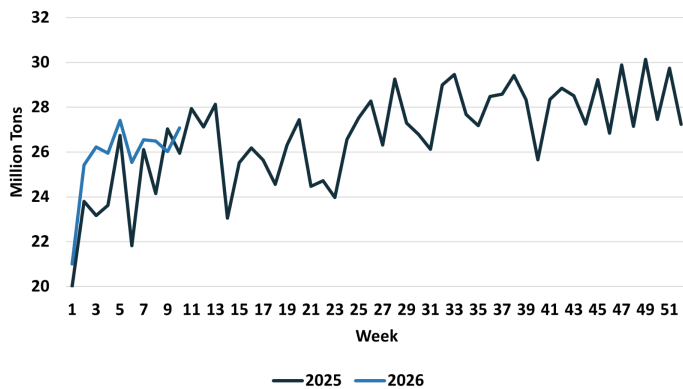
Top left chart: Shipment volumes were up 6.3% year on year through week 10.

Top right chart: The coal futures curve has moved closer to backwardation. The correlation with P5 is suggesting the market will stabilise around current levels.

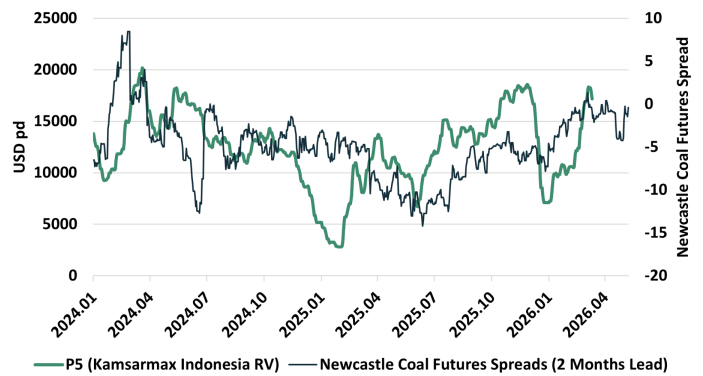
Bottom left chart: The tightness indicator has dropped sharply. This does not necessarily mean the market will drop, but it is a clear suggestion that upside is limited.

Bottom right chart: The SATL tightness indicator has continued to fall, which suggests upwards momentum will stall at some point this month (most likely the latter part of the month).

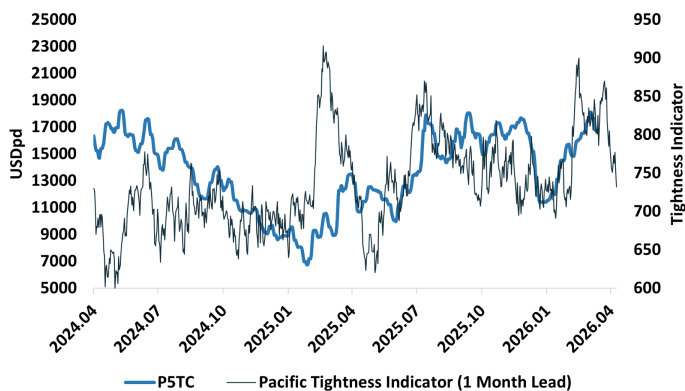
Weekly Panamax/Kamsarmax Shipment Volumes



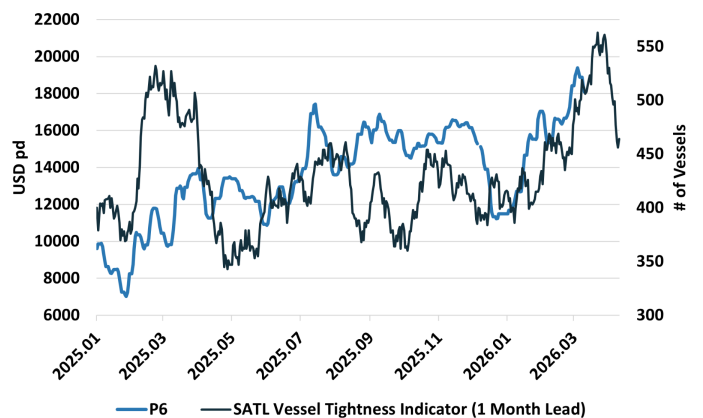
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

Industrial metals prices have remained firm throughout last week's turmoil. This indicates that global industrial activity is stable. The US dollar has strengthened a bit over the last month, which is a slight negative sign, but it remains significantly lower than 1 year ago.

Top left chart: The three-month change in the price of copper has fallen noticeably, but as it is a leading indicator the market is still suggested to rally over the next 1-2 months.

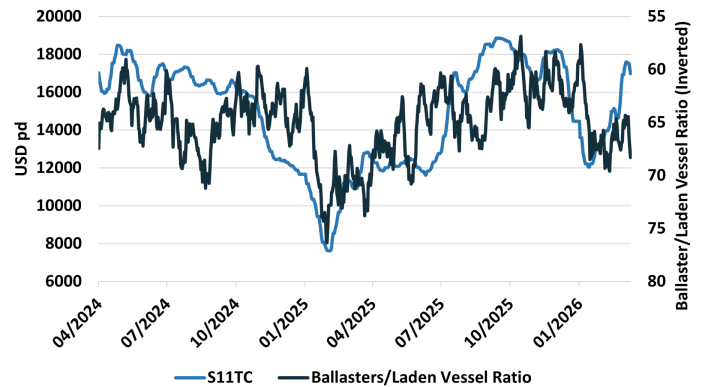
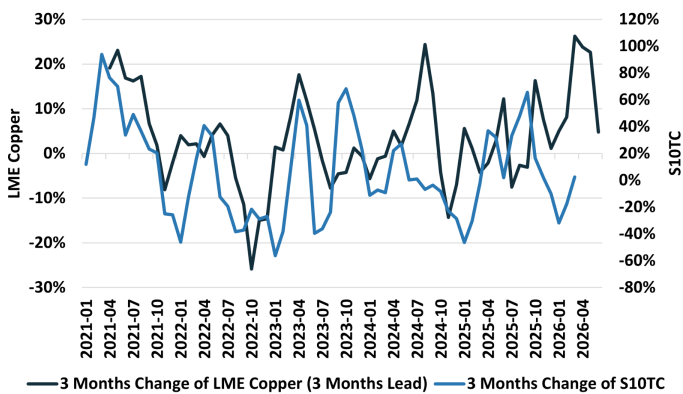
Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

Bottom left chart: An industrial metals index including metals like Aluminium, Zinc and Nickel. This index has now surged passed the heights seen in Q1 2022. Can market levels climb to the same heights as back then, or even higher? We don't think so, but the highest *since* then is not unreasonable to expect.

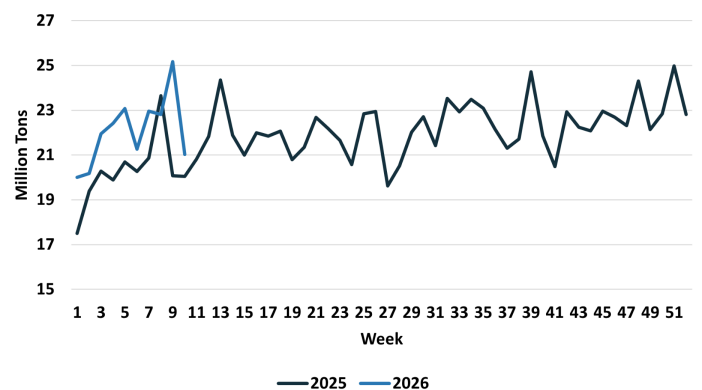
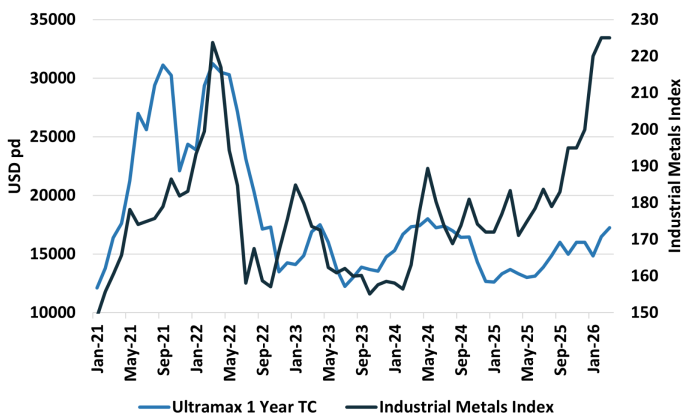
Another possibility is that since this index is showing signs of peaking, the 1-year TC rates are not far from peaking either.

Bottom left chart: Shipment volumes were up 9.0% year on year through week 10.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Weekly Supramax/Ultramax Shipment Volumes





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